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कर्मचारी भविष्य निधि संगठन

(श्रम एवं रोजगार मंत्रालय, भारत सरकार)

EMPLOYEES' PROVIDENT FUND ORGANISATION

(Ministry of Labour & Employment, Govt. of India)

मुख्य कार्यालय / Head Office

भविष्य निधि भवन, 14-भिकाजी कामा प्लेस, नई दिल्ली-110 066.

Bhavishya Nidhi Bhawan, 14, Bhikaiji Cama Place, New Delhi - 110 066.

LC-4/5/13/Judgement

Dated 12.07.2013

To

All Additional Central P. F. Commissioners (Zones)

All Regional P.F. Commissioners

Regional Offices/Sub Regional Offices

12 JUL 2013

Sub:- Forwarding of Landmark Judgment delivered by Hon'ble High Court of Madras in CA NO. 899 of 2012 in CP No. 230 of 2001 filed by M/s Murugan Mills Ltd. – reg.

Sir,

Please find enclosed herewith copies of judgments delivered by Hon'ble High Court, Madras in the above cited matter.

2. The Hon'ble High Court of Madras vide C.P. No. 230/2001 and C. A. No. 899/2012 has directed the Official Liquidator to adjudicate the claim of the applicant for recovery of PF contribution, dues, interest, panel damages and compensation if any and the Official Liquidator shall also re-compute the amounts payable to respective parties afresh and to recover the amount, if any paid is excess to the secured creditors and workman and others and to make re-appropriation of the same to the respective parties in accordance with Law.

3. It is thus requested to utilize the above order while defending similar cases.

Encl: as above



Yours faithfully,

(P. K. Udgata)

Addl. Central P. F. Commissioner (Compliance)

Copy to RPFC-NDC for uploading on website



कर्मचारी भविष्य निधि संगठन
EMPLOYEES' PROVIDENT FUND ORGANISATION
(श्रम मंत्रालय, भारत सरकार)
(GOVT. OF INDIA, MINISTRY OF LABOUR)

क्षेत्रीय कार्यालय, भविष्य निधि भवन, / Regional Office, Bhavishya Nidhi Bhavan,
डॉ. बालसुंदरम रोड, कोयंबतूर - 641 018, / Dr. Balasundaram Road, Coimbatore - 641018.

No.TN/RO-CBE/Legal/CA No. 899 of 2012 in CP No. 230/2001/2013

dated 28.05.2013.

4721.

To

*By name to:

The Central PF Commissioner, *
Employees Provident Fund Organisation,
Head Office, Bhikaji Cama Place,
New Delhi.

Shri.Sri. P.K.Udgata
ACC(Compliance).

Sir,

प्राप्ति दि./Receipt Date 4/6/13
समय/Time 11:10 AM
क्षेत्रीय म.नि.आयुक्त-1 (समन्वय/विधि)
R.P.F.C.-I (Cordination/Legal)

316/2013
RC-II (Legal)
पी.के. उद्गाता
P. K. UDGATA
अ. नि. (वि. आ. वि.)
Addl. C.P.F.C.

Prinla
04.06.13
RC-II/50 Legal
4/6/13
8/13

Sub:- Forwarding of Landmark Judgment delivered by Hon'ble High Court of Madras in
CA No.899 of 2012 in CP No. 230/2001 - filed by M/s. Sri Murugan Mills Ltd.,
Udumalpet, Tamilnadu (TN/CBE/21419) - reg.

Hon'ble High Court of Madras has directed **the Official Liquidator to adjudicate the claim of the applicant (Recovery Officer, EPFO, Coimbatore) for recovery of PF contribution dues, interest, penal damages and compensation if any and the Official Liquidator by giving priority to EPF dues over other debts in accordance with Law and any excess payment towards discharge of other debts shall be recovered to be re-appropriated in accordance with such re-computation** by its order dated 31.01.2013. Hon'ble Court has given priority to EPF dues and other allied dues over other debts of the company in liquidation in this order.

Copy of the Hon'ble High Court of Madras order is forwarded herewith for circulation.

Encl: As above.

Addl. C.P.F.C. (Compliance)
Diary No 16380
Date 04/06

Yours faithfully,

(VARGHESE M P)

REGIONAL PF COMMISSIONER-I

28/05/13

RSD
05/06/13

665
10/6/13

IN THE HIGH COURT OF JUDICATURE AT MADRAS

(ORIGINAL JURISDICTION)

Thursday, the 31st day of January, 2013

THE HON'BLE MS.JUSTICE K.B.K.VASUKI

COMP.APPLN.NO.899 of 2012

IN

COMP.PETN.NO.230 of 2001

In the matter of the Companies
Act, 1956 ;

and

In the matter of Murugan Mills Pvt.
Limited (in liquidation)

C.P.No.230/2001:

Board for Industrial and
Financial Reconstruction
Jawahar Vyapar Bhawan,
1 Tolstoy Marg,
New Delhi 110 001.

..Petitioner

-Vs-

1. M/s.Sri Murugan Mills Pvt. Ltd.,
Regd.Office S.F.No.23/3-D
Bogi Gounden Dsarapatti Village,
Kuraikattai Road,
Udamalpet 642 154, Coimbatore
Tamil Nadu.

And two others.

..Respondents

C.A.No.899/2012:-

The Recovery Officer,
Regional Office,
Employees Provident Fund Organisation
Coimbatore 641 018.

.. Applicant

Vs.

The Official Liquidator,
High Court, Madras
As the Liquidator of Murugan Mills Pvt.
Limited (in liquidation)

.. Respondent.

This Company Application praying this Court to
direct the respondent to disburse the claims in respect of
contribution, interest and damages and pay the PF dues to
the tune of Rs.98,57,223/- to the applicant in priority

By 0016403

over the other debts, claims of Workmen out of the sale proceeds already realized by the respondent.

This Company Application coming on this day before this Court for hearing in the presence of M/s.R.Meenakshi, Advocate for the applicant herein, and Mr.B.Ramesh, Company Prosecutor, for Official Liquidator, High Court, Madras the respondent herein, and upon reading the compliance report of the Official Liquidator, High Court, Madras filed herein, and the orders herein dated 3.1.2013, and 10.1.2013, and the Court made the following order.

Both the learned counsel for the applicant as well as the learned Company Prosecutor representing the Official Liquidator and the Assistant Official Liquidator are heard.

2.This application is filed by the Recovery Officer, Employees Provident Fund Organisation (shortly EPFO) for directing the respondent to disburse the claims in respect of PF contribution, interest and damages and to pay PF dues to the tune of Rs.98,57,223/- to the applicant in priority over other debts and claims of workmen out of the sale proceeds already realised by the respondent.

3.The facts made available herein would reveal that Provident Fund arrears for the period from 1996-1997, 1997-2000, 2000-2001, 2001-02 and 2002 is quantified by the competent authority under various orders to the tune of Rs.29,85,312/- and the last order was passed on 26.11.2002. Pending proceedings, the company was ordered to be wound up by order dated 18.02.2003. Thereafter, the Recovery Officer submitted a claim on 19.12.2003 for Rs.29,85,312/- for recovery of the arrears along with interest and penal charges. The claim was registered as claim No.1. The quantum of claim was subsequently modified by making additional claim for Rs.3,04,662/- with interest of Rs.41,194/-. Thereafter, the revised claim was filed in Form - 66 for Rs.91,35,672/- on 09.03.2007 and both the

By 0016404

claims are till date pending adjudication before the Official Liquidator. Pending adjudication proceedings, the Hon'ble Supreme Court followed by our High Court laid down the legal principle to the effect that contribution, interest and damages under Provident Fund Act will have priority over other claims of workmen and debts of the secured creditors by virtue of Section 11(2) of the Employees Provident Fund Act and any amount due from an employer towards the same shall be deemed to be first charge on the assets of the establishment and shall be paid in priority to all other debts and the same are recoverable with interest and damages for belated payment. Based on the legal principles as above referred to, the applicant / EPFO has come forward with this application for appropriate direction against the respondent for payment of EPF arrears as stated supra.

4. In my considered view, before ever any direction for disbursement of the contribution, interest and damages, if any is ordered, the claim shall be duly adjudicated upon as per law by the Official Liquidator and as and when the claim is adjudicated upon and amount due to EPFO is quantified by the Official Liquidator, the payment of the amount so adjudicated shall be given priority over other claims of workmen, secured creditors and thereafter unsecured creditors. In the present case, the claim is admittedly pending adjudication before the Official Liquidator. The official Liquidator has, by his notice dated 27.12.2012, enclosed at page 9 of the typed set of papers dated 2.1.2013, called for clarification from the applicant regarding variation in the claim made in the claim and revised claim made by the applicant. The applicant is hence directed to furnish the particulars as expeditiously as possible. The official Liquidator is directed to make adjudication of the claim not later than three weeks thereafter.

By 0016405

5. Regarding the priority given to EPF dues over other dues in the matter of payment it is repeatedly held by the Hon'ble Supreme Court as well as other High Courts that the disbursement of the debts shall be only in accordance with Section 529, 529(A) and 530 of the Companies Act and such disbursement shall be only after discharging in full the liability towards EPFO. Further, the Hon'ble Supreme Court has, in the recent judgment reported in **AIR 2012 SC 11 (Employees Provident Fund Commissioner v. Official Liquidator of Esskay Pharmaceuticals Ltd)** dealt with the issue whether priority given to the dues payable by an employer under Section 11 of the Employees Provident Funds and Miscellaneous Provisions Act, 1952 (hereinafter shortly referred to as 'EPF Act') is subject to Section 529A of the Companies Act, 1956 in terms of which the workmen's dues and debts due to secured creditors are required to be paid in priority to all other debts. The Supreme Court in the authority above cited had a detailed discussion of all the relevant provisions of law under EPF Act and Companies Act and referred to and followed the judgments of (i) **Recovery Officer and Assistant Provident Fund Commissioner v. Kerala Financial Corporation ILR (2002) Ker 4 (Division Bench of Kerala High Court)** (ii) **Central Bank of India v. State of Kerala (2009) 4 SCC 94** and (iii) **Maharashtra State Cooperative Bank Ltd v. Assistant Provident Fund Commissioner (2009) 10 SCC 123**, which dealt with the nature of priority given to the taxes payable to the State over other debts and also referred to few judgments wherein the respective High Courts dealt with interpretation of Sections 529 and 529A (i) **UCO Bank v. Official Liquidator, High court, Bombay, (1994) 5 SCC 1** (ii) **Allahabad Bank v. Canara Bank, (2000) 4 SCC 406** (iii) **A.P. State Financial Corporation v. Official Liquidator (2000) 7 SCC 291** and

(1v) ICICI Bank Ltd v. SIDCO Leathers Ltd. (2006) 10 SCC 452.. The Supreme Court was thereafter pleased to hold in paragraphs 36 and 43 as follows:

"36.The argument of Shri Gaurav Agrawal that the non obstante clause contained in the subsequent legislation i.e. Section 529-A(1) of the Companies Act should prevail over similar clause contained in an earlier legislation i.e. Section 11(2) of the EPF Act sounds attractive, but if the two provisions are read in the light of the objects sought to be achieved by the legislature by enacting the same, it is not possible to agree with the learned counsel. As noted earlier, the object of the amendment made in the EPF Act by Act 40 of 1973 was to treat the dues payable by the employer as first charge on the assets of the establishment and to ensure that the same are recovered in priority to other debts. As against this, the amendments made in the Companies Act in 1985 are intended to create a charge pari passu in favour of the workmen on every security available to the secured creditors of the company for recovery of their debts. There is nothing in the language of Section 529-A which may give an indication that the legislature wanted to create first charge in respect of the workmen's dues, as defined in Sections 529(3) (b) and 529-A and debts due to the secured creditors.

43.At the cost of repetition, we would emphasize that in terms of Section 530(1), all revenues, taxes, cesses and rates due from the company to the Central or State Government or to a local authority, all wages or salary of any employee, in respect of the services rendered to the company and due for a period not exceeding 4

months, all accrued holiday remuneration, etc. and all sums due to any employee from a provident fund, a pension fund, a gratuity fund or any other fund for the welfare of the employees maintained by the company are payable in priority to all other debts. This provision existed when Section 11(2) was inserted in the EPF Act by Act 40 of 1973 and any amount due from an employer in respect of the employees' contribution was declared first charge on the assets of the establishment and became payable in priority to all other debts. However, while inserting Section 529-A in the Companies Act by Act 35 of 1985 Parliament, in its wisdom, did not declare the workmen's dues (this expression includes various dues including provident fund) as first charge. The effect of the amendment made in the Companies Act in 1985 is only to expand the scope of the dues of workmen and place them on a par with the debts due to secured creditors and there is no reason to interpret this amendment as giving priority to the debts due to secured creditor over the dues of provident fund payable by an employer. Of course, after the amount due from an employer under the EPF Act is paid, the other dues of the workers will be treated on a par with the debts due to secured creditors and payment thereof will be regulated by the provisions contained in Section 529(1) read with Sections 529(3), 529A and 530 of the Companies Act."

The Apex court, by holding so, allowed all the appeals and set aside the order of the Company Court.

6. It may be true that the legal principle so laid down upon the issue relating to priority given to the dues payable under EPF Act over all other dues is a recent one.

It is sought to be contended by the learned counsel for the applicant that as the disbursement of debts due to the secured creditor viz., Indian Bank is only in accordance with the law then prevailing and is on the strength of the order of this court, the disbursement so made is legally valid and the same, on the strength of the latest interpretation of law, cannot be held to be set aside. In my considered view, such contention is unsustainable for the following reasons.

7. The Supreme Court in another judgment reported in **MANU/SC/0808/2012 Jitendra Nath Singh v. Official Liquidator and others** under different context directed the High court to re-compute the amounts payable *pari passu* between the secured creditors and the workmen in accordance with the principles laid down by the Supreme Court. In the authority above cited, the question arose for consideration before the Supreme Court was the manner of interpretation of Sections 529 and 529A of the Companies Act. The learned Company judge held that the workmen and secured creditors have *pari passu* charge over the properties of the company under Sections 529 and 529A of the Companies Act. Aggrieved against the same, the appellant/workman filed Company Appeal contending that the secured creditors have *pari passu* charge with the workmen only on the properties, which have been offered by the company to the secured creditors as security and not on other properties, which were not given as security. The Division Bench dismissed the appeal by holding that the secured creditors have *pari passu* charge with the workmen over all properties of the company under Sections 529 and 529A and dismissed the appeal. When the same was challenged before the Supreme Court, the Apex Court upheld the view of the High Court that the workmen and secured creditors have *pari passu* charge over the properties of the company. But the Supreme Court found fault with the learned single judge

and Division Bench in respect of manner of computation of shares between the workmen on one hand and secured creditors.

8. The Supreme Court has held that the direction of the learned single judge that the amounts recovered from the secured creditors to be distributed between the workmen and the secured creditors in equal proportion of 50 per cent of their respective admitted claims, is opposed to the very scheme of the above provisions, particularly with respect to determination of the workmen's portion and the company court and the appellate court erred in the manner of computation of the amounts payable to the workmen and secured creditors. The supreme court, having noticed that the amounts have already been disbursed and utilised by the workmen and secured creditors, has categorically held that the same is subject to adjustment as per the order of the court. The Supreme Court finally in para 50 directed that the High court should re-compute the amounts payable *pari passu* between the secured creditors and the workmen in accordance with the principles stated above and remanded the matter to the company court to apply the above stated principles and calculate the amount payable to the respective parties afresh and in accordance with law. In my considered view, similar course can be adopted by this court and the Official Liquidator can be directed to re-compute the amount in accordance with law.

9. As a matter of fact, the reading of the original order reveals that the disbursement of amount to the secured creditor/Indian Bank is subject to the undertaking to return the excess amount if any made. As any payment made to workmen or any of the secured creditors contrary to the manner laid down under the relevant provisions of law, shall be treated as excess payment and is recoverable for making re-appropriation of the amount in accordance with

law, the amount already paid to the secured creditor shall be re-computed by giving priority to EPF dues over other debts in accordance with law and any excess payment towards discharge of other debts shall be recovered to be re-appropriated in accordance with such re-computation.

10. In the result, the Official Liquidator is directed to adjudicate the claim of the applicant for recovery of PF contribution dues, interest, penal charges and compensation if any and the official liquidator shall also re-compute the amounts payable to the respective parties afresh in accordance with law by giving priority to EPF dues over other debts and to recover the amount if any paid in excess to the secured creditors and workmen and others and to make re-appropriation of the same to the respective parties in accordance with law.

WITNESS, The Hon'ble Thiru ELIPE DHARMA RAO, Acting Chief Justice of Madras High Court, aforesaid this the 31st day of January, 2013.

Sd/-
DEPUTY REGISTRAR(O.S).i/c
//CERTIFIED TO BE A TRUE COPY//
DATED THIS THE 29th DAY OF Dec 2013.

[Signature]
COURT OFFICER.

From 25th September 2008 the Registry is issuing certified copies of the Orders/Judgments/Decree in this format.

10

AS/25/3/2013

COMP. APPLN. NO. 899/2012
IN
COMP. PETN. NO. 230/2001

ORDER DATED: 31.1.2013

THE HON'BLE MS. JUSTICE
K.B.K. VASUKI

FOR APPROVAL ON: 26.4.2013

APPROVED ON: 26.4.2013

Copy to

1. The Official Liquidator,
High Court, Madras.

By 0016412

HIGH COURT, MADRAS

ORIGINAL SIDE

C.A. No. 1125/17
App'd 1/6/17
Stamp 29/4/17
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Ready 29/4/17
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